

BUSINESS REQUIREMENTS DOCUMENT

Nykaa E-Commerce: Customer Behavior & Sales Analysis

Version 1.0 | May 2026 | Prepared by: Shrutik Pandey

1. Document Information

Project Name	Nykaa Customer Behavior & Sales Analysis
Document Version	1.0
Prepared By	Shrutik Pandey, Business Analyst
Date	May 2026
Status	Final
Tools Used	Excel, Power Query, Power BI Desktop

2. Executive Summary

This document outlines the business requirements for analyzing Nykaa's customer purchasing behavior and sales performance. The analysis aims to identify customer segmentation gaps, revenue growth opportunities, and actionable strategies to improve Average Order Value (AOV) and Customer Lifetime Value (CLV).

The primary finding is that the majority of Nykaa's customer base falls in the Low Value segment, with an absence of High Value customers — indicating a significant opportunity to improve upselling, cross-selling, and loyalty strategies.

3. Business Objectives

- Analyze customer transaction data to identify purchasing patterns and segmentation
- Diagnose root causes of low AOV and poor customer value distribution
- Identify underperforming sales periods and recommend targeted promotional strategies
- Provide actionable, data-backed recommendations to marketing and product teams
- Build an interactive Power BI dashboard for ongoing monitoring

4. Project Scope

4.1 In Scope

- Customer segmentation analysis (Low / Medium / High Value)
- Sales trend analysis over time
- Revenue distribution by product category
- AOV and CLV calculation and benchmarking
- Interactive Power BI dashboard development
- Business recommendations report

4.2 Out of Scope

- Real-time data pipeline development
- Website UX/UI analysis
- Competitor benchmarking
- Financial forecasting or P&L analysis

5. Stakeholder Analysis

Stakeholder	Role	Interest	Engagement Level
Marketing Team	Primary	Campaign targeting insights	High - Weekly updates
Product Manager	Primary	Feature prioritization	High - Sprint reviews
Sales Leadership	Secondary	Revenue forecasting	Medium - Monthly review
CRM Team	Secondary	Loyalty program data	Medium - As needed

6. Business Requirements

6.1 Functional Requirements

- FR-01: System shall segment customers into Low, Medium, and High Value tiers based on total spend
- FR-02: Dashboard shall display sales trends over monthly and quarterly time periods
- FR-03: Dashboard shall allow filtering by customer segment, product category, and date range
- FR-04: Report shall calculate and display AOV and CLV metrics
- FR-05: System shall identify top and bottom performing product categories by revenue

6.2 Non-Functional Requirements

- NFR-01: Dashboard should load within 5 seconds for standard dataset size
- NFR-02: Report should be accessible to non-technical stakeholders without training
- NFR-03: Data preparation process should be repeatable and documented

7. Gap Analysis

Current State	Desired State	Gap / Action Required
85%+ customers in Low Value segment	Balanced segment distribution with 20%+ in Medium/High	Launch loyalty tier program + personalized upsell campaigns
Low AOV with minimal cross-sell activity	AOV increased by 20% within 2 quarters	Introduce AI-based product recommendations at checkout
Volatile sales with no seasonal strategy	Consistent month-over-month growth with planned campaigns	Build promotional calendar aligned to sales dip periods

8. Recommendations & Prioritization

#	Recommendation	Priority	Expected Impact
1	Launch customer loyalty tier program (Bronze/Silver/Gold)	High	+15-20% repeat purchases
2	Implement AI-driven product recommendations at checkout	High	+10-15% AOV improvement
3	Design seasonal campaigns aligned to sales dip periods	Medium	Reduce revenue volatility
4	Introduce product bundling in top categories	Medium	Increase basket size
5	Launch win-back email campaign for churned customers	Low	Re-engage 10-15% lapsed users

9. Document Approval

Role	Name	Signature / Date
Business Analyst		
Marketing Lead		

Product Manager		
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